

QUESTION 1

If a company has ₹10,000 in 'Accounts Payable' and it pays off ₹3,000 to its suppliers, how does this affect the accounting equation?

Answer is Correct

Score: 1 / 1

Options

Correct

- ☒ A. Assets decrease by ₹3,000 and Liabilities decrease by 3,000.
-
- ☐ B. Liabilities decrease by 3,000 and Equity decreases by ₹3,000.
- ☐ C. Only Liabilities are affected.
- ☐ D. Assets decrease by ₹3,000 and Equity increases by ₹3,000.

 FEEDBACK

Cash (Asset) is used to pay the debt, and the obligation to suppliers (Liability) is reduced by the same amount.

QUESTION 2

If a business owner takes ₹3000 from his business for his personal house rent, how is this recorded?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. As a 'Rent Expense' for the business.
- ☒ B. As 'Drawings', which reduces the Owner's Equity.
- ☐ C. As a 'Salary Expense' paid to Rohan.
- ☐ D. As a 'Loan' that Rohan must pay back with interest.

Correct

 FEEDBACK

Drawings are withdrawals of cash or assets by the owner for personal use, which reduce the owner's claim on the business.

QUESTION 3

What is the result of subtracting 'Cost of Goods Sold' (COGS) from 'Sales Revenue'?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Retained Earnings
- ☐ B. Operating Income (EBIT)
-
- ☒ C. Gross Profit
-
- ☐ D. Net Profit

Correct

 FEEDBACK

Gross Profit is the profit a company makes after deducting the costs associated with making and selling its products (direct costs).

QUESTION 4

Ramesh invests ₹200,000 in his business. According to the accounting equation, how does this affect the business?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Liabilities increase and Equity decreases.
- ☒ B. Assets (Cash) increase and Owner's Equity (Capital) increases. Correct
- ☐ C. Only the Cash account is affected.
- ☐ D. Assets (Cash) increase and Liabilities increase.

 FEEDBACK

The business receives a resource (Cash) and records a corresponding claim by the owner (Capital) for that same amount.

QUESTION 5

If a business purchases a new delivery truck for cash, what is the impact on the total assets in the Balance Sheet?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Total assets increase and total liabilities increase.
- ☐ B. Total assets increase by the cost of the truck.
- ☐ C. Total assets decrease because cash is gone.
-
- ☐ D. Total assets remain unchanged.

Correct

 FEEDBACK

This transaction is an exchange of one asset (Cash) for another asset (Equipment), so the total value of assets stays the same.

QUESTION 6

In a Trading Account, which side are 'Closing Stock' and 'Sales' recorded on?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Asset Side
- ☐ B. Debit Side
- ☐ C. Liability Side
-
- ☐ D. Credit Side

Correct

 FEEDBACK

Sales and Closing Stock represent the direct incomes or outputs of the business period, which are credited in the Trading Account.

QUESTION 7

In the context of a Juice Stall business, why is 'Capital' considered a liability from the business's perspective?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Because the owner expects to be paid interest on his investment like a bank.
- ☐ B. Because the owner might decide to close the stall and take the money at any time.
- ☐ C. Because Capital must be paid back within one year.

Correct

- ☐ D. Because the owner and the business are distinct entities; the business owes this money back to the owner.

 FEEDBACK

The business entity concept treats the business as separate from its owner, meaning it 'borrows' the initial capital from the owner.

QUESTION 8

Why is 'Depreciation' added back to 'Net Income' when calculating cash flow from Operating Activities?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Because depreciation increases the value of the assets over time.

- ☐ B. Because depreciation is a non-cash expense that reduced net income but did not involve an actual cash outflow.

- ☐ C. Because the business needs that money to buy new machines immediately.

- ☐ D. Because depreciation is a cash inflow that was previously ignored.

Correct

 FEEDBACK

Since we start with Net Income, we must add back any expenses that didn't use cash to find the true cash generated by operations.

QUESTION 9

Using the Weighted Average Method, if you have 100 units at ₹5 and 200 units at ₹8, what is the average cost per unit?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. ₹6.50
- ☐ B. ₹6.00
-
- ☒ C. ₹7.00
-
- ☐ D. ₹13.00

Correct

 FEEDBACK

The calculation is $\frac{(100 \times 5) + (200 \times 8)}{100 + 200} = \frac{500 + 1600}{300} = \frac{2100}{300} = 7$

QUESTION 10

A business pays ₹5,000 for a utility bill that was recorded as a liability in the previous month. What is the impact on the current month's Income Statement?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Gross profit increases.
- ☒ B. There is no impact on the Income Statement.
- ☐ C. Revenue increases by ₹5,000.
- ☐ D. Net income decreases by ₹5,000.

Correct

 FEEDBACK

This transaction is simply the settlement of a liability (Utilities Payable) with an asset (Cash); the expense was already recognized last month.

QUESTION 11

A company purchases a machine for ₹11,000 with an estimated salvage value of 1,000 and a useful life of 5 years. Using the Straight-Line Method, what is the book value of the asset at the end of Year 2?

Answer is Correct

Score: 3 / 3

Options

☐ A. ₹8,000

☐ B. ₹6,400

☒ C. ₹7,000

Correct

☐ D. ₹9,000

 FEEDBACK

The annual depreciation is ₹2,000 $((₹11,000 - ₹1,000)/5)$; after two years, ₹4,000 is deducted from the original cost of ₹11,000.

QUESTION 12

A machine is purchased for ₹10,000. If the company applies the Written Down Value (WDV) method at a rate of 20%, what is the depreciation expense specifically for the second year?

Answer is Correct

Score: 3 / 3

Options

Correct

- ☒ A. 1,600
-
- ☐ B. 28,000
- ☐ C. 1,280
- ☐ D. 2,000

 FEEDBACK

In Year 1, depreciation is 20% of 10,000 (2,000); in Year 2, it is 20% of the remaining 8,000 book value.